



DECISIVE

How To Make Better Choices
in Life and Work

CHIP HEATH AND DAN HEATH



The Big “So What”

We make decisions every day. Yet, we often find ourselves regretting or abandoning these decisions—be it choosing the wrong career, making a poor business decision, or buying something we don't need. **This book explains why we make poor decisions, and how we can counter our own mental/emotional biases to make better choices.**



Introduction



There are many books and studies that explain why we make poor decisions.

- For example, in “Thinking, Fast and Slow”, Daniel Kahneman explains many of our mental biases, including “what you see is all there is”. The Heath brothers call this the “spotlight effect”, i.e. we make decisions based on the information being spotlighted and our subjective interpretation of that information. In so doing, we miss out on information and options outside of the spotlight.
- In fact, we can't trust our intuition or detailed analysis, as both are susceptible to biases.



The question that remains is: How can we make better decisions? **The Heath brothers explain 4 key steps in a typical decision-making process, the villains that causes bad decisions at each step, and how we can counter them using the WRAP process to adjust our spotlight and make better choices.**

KEY QUOTES

“Our decisions will never be perfect, but they can be better. Bolder. Wiser. The right process can steer us toward the right choice.”

“What's in the spotlight will rarely be everything we need to make a good decision, but we won't always remember to shift the light.”

“Sometimes we are given the advice to trust our guts when we make important decisions. Unfortunately, our guts are full of questionable advice.”

Decision-making Process	Key Villains	WRAP Solution
 Facing a choice	 Narrow Framing	 Widen your Options
 Analyzing options	 Confirmation bias	 Reality-Test your Assumptions
 Making a choice	 Short-term emotions	 Attain Distance before Deciding
 Post-decision	 Overconfidence	 Prepare to be Wrong



The 4 Villains of Decision Making

Here are the 4 key factors behind our bad decisions.



Villain #1: Narrow framing.

- When we face a choice, we tend to look at our options narrowly, and often in binary terms, e.g. "Should I buy a new house or not?" or "Should I quit or stay in my job?". This limits the options that we consider.
- In reality, there are always more and better options if you use a broader frame, e.g. "What's the best way to improve our living conditions?" or "How can I improve both my income and job satisfaction?".



Villain #2: Confirmation bias.

- As we analyze our options, we tend to only look for data that confirms our beliefs, assumptions and predispositions, instead of truly seeking the best information.
- Researchers found that we're 2x more likely to favor information that confirms our view than information that disconfirms it. In fact, the more time and effort we invest in analyzing an issue, the more our confirmation bias kicks in. A KPMG study found of 83% of 700 mergers and acquisitions (M&As) did not boost shareholder value. This is partially

KEY QUOTES

"A better decision process substantially improves the results of the decision, as well as the financial returns associated with them."

"The confirmation bias leads us to hunt for information that flatters our existing beliefs."

"When we want something to be true, we will spotlight the things that support it, and then, when we draw conclusions from those spotlighted scenes, we'll congratulate ourselves on a reasoned decision."

because, after months of analyzing and negotiating a potential M&A, executives tend to focus only on the company at hand, rather than reconsider other companies or new ways to achieve their goals.



Villain #3: Short-term emotions.

- Despite our detailed data and analysis, when we actually make our choice, we tend to be influenced more by our short-term feelings.
- In such cases, it helps to step away until the emotions fade, so we can see things from a fresh perspective and consider the bigger picture.



Villain #4: Overconfidence.

- After making the decision, we tend to feel certain about how the future will turn out, when in reality we are merely guessing and have no way of accurately predicting the future.
- For example, doctors who were “certain” about their diagnosis turned out to be wrong 40% of the time. Students who estimated they had a 1% chance of being wrong were in fact wrong 27% of the time.



Solution: W.R.A.P

To protect yourself from these 4 biases, wrap the 4-step W.R.A.P. process around your usual decision-making process.



The 4 steps generally flow in sequence, but you need not follow them strictly, and you may not always need all the steps.



This process works only for considered decisions that take at least 5 minutes, i.e. it does not work for intuitive, split-second decisions, which can only be trained in a predictable environment with lots of repetition and instant feedback.

KEY QUOTES

“We have kicked up so much dust that we can’t see the way forward. In those moments, what we need most is perspective.”

“When we make guesses about the future, we shine our spotlights on information that’s close at hand, and then we draw conclusions from that information.”

“Our hope is that you’ll embrace the process we outline...and practice it until it becomes second nature.”



Widen your Options

To overcome your tendency to adopt a narrow frame, use these 3 strategies to (a) expand your options, (b) effectively consider multiple options, and (c) find alternatives even if you're stuck.



Avoid a Narrow Frame



Learn to become aware when you're stuck in a narrow frame.

- Watch or listen out for whether-or-not questions. Then, consciously widen your options with questions like "Is there a better way?" or "What else can I do?"
- Replace "OR" with "AND" in your questions to ask "How can I get this AND that?" rather than "Should I go for this OR that?"



Consider your opportunity costs, i.e. what you give up when you make a choice. For example, if you're deciding whether to buy a car (a binary decision), you can remind yourself of other options simply by adding the words in bold below.

- Buy a car.
- Not buy a car. **Keep the \$5,000 for something else.**



Use the "Vanishing Options Test": Ask yourself what you'd do if you can't choose either of the options you are considering. This forces you to go beyond your narrow frame to explore new alternatives.



Multitrack—Explore Multiple Options



Consider more than 1 option simultaneously. This is more effective than considering your options sequentially.

- For example, graphic designers who concurrently designed (and received feedback on) 3 design options delivered much better results than those who designed 3 ads sequentially.

KEY QUOTES

"Learn to distrust 'whether or not' decisions...when you see or hear that phrase, a little alarm bell (should) go off in your head, reminding you to consider whether you're stuck in a narrow frame."

"If you're willing to invest some effort in a broader search, you'll usually find that your options are more plentiful than you initially think."

"Until we are forced to dig up a new option, we're likely to stay fixated on the ones we already have."

- This is because people can compare and learn simultaneously from various sets of feedback, to develop better mental models and solutions for subsequent revisions. With multiple alternatives, people also tend to feel less invested in any one solution, thus minimizing ego and politics.
- However, this will not work if bogus options are presented just to make a preferred option look good. Do a quick poll amongst your team-mates—if there's disagreement on the best option, it means you have genuine options to choose from.



You simply need to add 1-2 additional options to drastically improve your decision and outcomes.

- There's no need for a full range of options; in fact, too many choices can lead to decision paralysis.
- A study found that whether-or-not decisions (with only 1 option) failed 52% of the time in the long term, while decisions with 2 or more alternatives failed only 32% of the time.



Our frame of mind affects how we respond to the options we see.

- When we're in a "preventive mindset", we are cautious and focused on minimizing losses or damage. When we're in a "promotion mindset", we focus on opportunities.
- You need both perspectives, and the key is to combine caution with optimism—focus on AND, not OR, e.g. how can you reduce the budget while using the freed-up resources to invest in your most exciting opportunities?



Find Others Who Have Solved Your Problem

If you feel stuck, one of the best ways to find new ideas is to look for people who have already solved your problem.



You can find "bright spots" within your organization, your industry or others in similar circumstances. For example, if you're trying to build a new exercise habit, look at what you did on those days when you successfully went to the gym. If you're

KEY QUOTES

"You don't need a plethora of choices to improve your decisions. You just need one extra choice, or two."

"How you react to (an option)...depends a great deal on your mindset at the time it's offered."

"When life offers us a 'this or that' choice, we should have the gall to ask whether the right answer might be 'both'."

"To break out of a narrow frame, we need options, and one of the most basic ways to generate new options is to find someone else who's solved your problem."

trying to implement a new loyalty program, look at how others have successfully rolled out theirs.



You can even proactively capture your discoveries in a “playlist”, e.g. people to consult, ideas to consider, or questions to ask.

- Checklist vs playlist. A checklist is prescriptive—it tells you exactly what you need to do and works for repetitive tasks. However, a playlist is generative—it acts as a stimulus to help people consider more options and discover new ideas.
- For example, a playlist for budget cuts could include: exploring new sources of income to alleviate the need for cost-cutting, delaying planned expenditures (not just cutting existing ones), and identifying new opportunities that are now possible to pursue with the freed-up resources. Such a playlist helps your team to approach budget cuts more creatively and constructively.



Use analogies to get new ideas, starting from analogies that are most identical to your situation, then expanding it progressively to get more creative. For example, if you want to reduce the queuing time in your office canteen, you can start with bright spots within your organization (e.g. how queue lines were shortened at the checkout counters). Then, gradually broaden your reference points to look at other industries, e.g. queue-management at F&B outlets or retail stores, or even crowd management practices at stadiums or theme parks.



Reality-Test your Assumptions

To overcome confirmation bias and our overconfidence in our predictions, we must reality-test our assumptions. The authors recommend 3 strategies to (a) improve the way we collect information, (b) improve the types of information we collect, and (c) test our options before we commit to them.



Consider the Opposite



Look for disconfirming data that challenge your beliefs or assumptions. Deliberately seek disagreements or find people who can play devil’s advocate, to get a more balanced perspective.

KEY QUOTES

“Granular problems benefit from local analogies, and conceptual problems lend themselves to regional analogies.”

“If you haven’t encountered any opposition to a decision you’re considering, chances are you haven’t looked hard enough.”



READINGGRAPHICS
Ideas Come Alive

KEY QUOTES

"Reality-Testing Our Assumptions is difficult... That's the whole point of the confirmation bias—deep down, we never really want to hear the negative information."

"Take the outside view. You should distrust the inside view...and instead get out of your head and consult the base rates."



Probe further to draw out disconfirming information.

- Use probing questions like: "What would have to be true for this option to be the right answer?", or "Could this solution bring any problems?". Where probing questions are inappropriate, you can use open-ended questions to gather data.
- Probe for specifics, which may uncover conflicting data. For example, instead of asking, "are your employees happy with your company?", try asking "how many employees were hired 5 years ago?" and "how many of these employees are still with the company?".



Force yourself to consider what's opposite to your instincts.

- If you are feeling upset with someone, force yourself to "assume positive intent", e.g. assume that the other person is trying to be helpful, rather than being a busy-body.
- At the extreme, you can test your assumption by making a deliberate mistake, i.e. do what you believe won't work. If you fail, it proves your assumptions are correct; if you succeed, you'd have just disproved a wrong assumption.



Zoom Out and Zoom In

An "outside view" is the summary of real-world experiences, while an "inside view" is your own impression or opinion. Zoom out and zoom in to get a more complete and realistic assessment of your choices.



Zoom out to get a more global view of what to expect.

- Test your assumptions by consulting an expert—someone who has more experience than you in an area—such as a lawyer for legal matters. Generally, experts are great at offering advice on variables and base-rates, but not for predicting outcomes for specific situations.
- Seek to answer this question: What can I reasonably expect to happen if I make this choice?



Then, zoom in on the details to assess the likely outcomes for your unique situation, and focus on specific ways to improve your chances of success.

- For example, you may shortlist potential holiday resorts



Conquer Short-Term Emotions

We often make decisions based on emotional impulses, then regret them when the feelings fade.



By default, we tend to be emotionally attached to status quo and what's familiar:

- Loss-aversion. We find the pain from potential losses to be greater than the rewards from potential gains, thus prefer to keep things the way they are.
- Familiarity. We are naturally predisposed toward what we're familiar with, and tend to feel more positive about something just because we're exposed to it more frequently.
- Use the techniques below to distance yourself from these short-term impulses so you can make better decisions.



The "10/10/10 principle". To decide whether to proceed with an option, consider how you'll feel about it (a) 10 minutes from now, (b) 10 months from now, and (c) 10 years from now.

- Our feelings seem very real and intense in the present, but fade with time. By forcing yourself to look into the future, you'll dull the impact of your emotional impulses.
- Our short-term feelings are still useful in decision-making. The key is put them in perspective so they are not the main or sole influencer of our decisions.



Adopt a third-party perspective to distance yourself from your emotions and gain greater clarity. Ask yourself, "What advice would I give my best friend in such a situation?" or "What would my successor do in my shoes?"



Honor your Core Priorities

Although it helps to minimize the impact of short-term impulses, all major decisions are fundamentally about emotions—what you believe in, what you want and who you are. The key is to make decisions that are right for you.



If you find yourself agonizing over 2 options that are both attractive in the long-term, it's likely that you're dealing with a conflict of core priorities.

KEY QUOTES

"Conducting a 10/10/10 analysis doesn't presuppose that the long-term perspective is the right one. It simply ensures that shortterm emotion isn't the only voice at the table."

"There's no 'rational machine' underneath that is generating your perspective. It's who you are and what you want. The buck stops with emotion."

- Imagine you're trying to decide whether to stay in your current job (which pays well, provides work-life balance and allows you to play to your strengths) or take on a high-profile job (which comes with a huge pay rise, new challenges but requires you to move overseas and work long hours). The right decision in this case depends on your values and what matters most to you.
- Tough organizational decisions like, "Do we go with Option A to maximize shareholder value, or go with Option B to maximize benefits to our customers?" are also about mission and core values.



In order to make sound decisions, you must **define and follow your core priorities**. However, most people don't define their priorities simply because they don't have to. Attain distance so you can step back and review where your priorities truly lie.



Even if you know your priorities, it's hard to stick to them, e.g. you may value quality time with your kids but constantly give priority to urgent work projects. To make time for your key priorities, you must **remove your lesser priorities**.

- Create a "stop-doing list" each year, to free up time/resources for your main priorities.
- Fix a slot in your weekly schedule to review how you spend your time, and to identify what you can give up to make time for your priorities.
- Set a regular alarm—each time it goes off, pause and ask, "Am I doing what I most need to be doing right now?"



Prepare to be Wrong

We cannot accurately predict the future, but **we can plan for surprises using 2 strategies**: (a) bookend the future so you explore a wider range of possibilities and (b) set a tripwire to review your decisions.



Bookend the Future

Estimate 2 extreme scenarios—a desperate outcome (the lower bookend) and a dream outcome (the upper bookend). This forces you to consider a broader range of possibilities.

KEY QUOTES

"When we identify and enshrine our priorities, our decisions are more consistent and less agonizing."

"People rarely establish their priorities until they're forced to."

"With some distance, we can surface the priorities conflicts that underlie tough choices. With some distance, we can spot and stamp out lesser priorities that interfere with greater ones."

"We can't control the future, but with some forethought, we can shape it."

"To bookend the future means that we must sweep our spotlights from side to side, charting out the full territory of possibilities."

 Build safeguards against the lower bookend, much like how you'd buy insurance.

- Use "premortems" (a concept by Gary Klein) to identify your biggest threats: Imagine your project turns out to be a total flop—what could have caused that failure? Build contingencies for these threats.
- Use "failure-mode and effect analysis" or FMEA (by Gunther Murphy) to identify potential failures at each step of your plans. Ask "how likely is it?" and "how severe would the consequences be?", then multiply the scores for the 2 questions to identify the biggest threats to be addressed.

 Be prepared for the upper bookend or the unexpectedly good outcomes. Use a "preparade": Imagine your project is such a success that you're holding a parade to celebrate it. What will you need to handle this success?

 Assume you're still overconfident, and build in a margin of error that's appropriate for your type of project.

 You can also apply this concept to make better hiring decisions. During interviews or new-hire orientations, give a "realistic job preview", i.e. give a glimpse of what to expect, including unpleasant realities like long hours or difficult customers. By preparing people for what's to come, you can actually reduce turnover and improve job satisfaction.



Set a Trip-Wire

It's easy to get comfortable with status quo or lapse into auto-pilot mode (like how we brush our teeth or drive without conscious thought). We may also miss small daily changes or adopt a wait-and-see approach until it's too late. Tripwires are signals that will force us to reconsider a decision or to make a new one, at the right time, like your car's low-fuel warning indicator.

 Your tripwire can be in the form of a date or measurement, e.g. "We will take action when 20% of the market has adopted this technology" or "We will take action if the market has not recovered in the next 3 months."

 You can also create a partition that necessitates a conscious choice.

- In a study, participants who were given 24 unwrapped cookies finished them in 6 days, while those given

KEY QUOTES

"By bookending—anticipating and preparing for both adversity and success—we stack the deck in favor of our decisions."

"The FMEA and its sister technique, the premortem, stop people from focusing on a single, usually optimistic guess about how the world will unfold and instead compel them to pay attention to the uncertainty surrounding the guess."

"Tripwires at least ensure that we are aware it's time to make a decision, that we don't miss our chance to choose because we've been lulled into autopilot."

individually-wrapped cookies finished them in 24 days. The physical act of removing the wrappers forced people to consider if they wanted to continue eating.

- Likewise, you can create tripwires by separating your salary (or even gambling funds) into separate envelopes to remind yourself to control your expenditure.



Label your tripwires to make them easier to recognize—the recognition alone acts as a reminder that you can make a deliberate choice.



Conclusion + Other Details in the Book to Look Out For

The WRAP process provides a clear and consistent way to make better decisions; it can also improve the perception of fairness to improve buy-in for group decisions. Apply the tips to your decisions, and trust that you have the safeguards in place to make bolder decisions and take risks more confidently.

The Heath brothers bring these ideas to life using a range of real-life stories, vivid examples and case-studies. The book also includes:

- “Clinics” to help you apply the tips using various real-world challenges; and
- Advice on overcoming 11 common roadblocks to use the WRAP process effectively.

Visit heathbrothers.com for additional resources such as a free workbook, various decision scenarios, podcasts and a book club guide.

KEY QUOTES

“With the right tripwire, we can ensure that we don't throw good money (or time) after bad.”